

COBRA vs. ACA. Make the right call in 30 days.

The most financially consequential decision most people make in the first week of a job loss — and the one most often made on incomplete information.

IF YOU TAKE NOTHING ELSE AWAY

Five things that matter most

- You have 60 days to elect COBRA, but make the decision in 30. Waiting creates complications.
- COBRA keeps your exact current plan. ACA gives you different options, often cheaper.
- If you have ongoing prescriptions, procedures, or providers: check the ACA network before switching.
- If you land a job quickly (under 60 days), COBRA's retroactive coverage means you may never pay a premium. ACA doesn't work that way.
- ACA is almost always cheaper for healthy candidates with no ongoing care. COBRA is often better for those with active medical situations.

Most people pick COBRA because it's familiar. Most people would save money on ACA. The right answer depends on your specific situation.

COBRA

- Exact same plan, same network, same doctors
- You pay full premium + 2% admin fee
- Retroactive: elect late, coverage starts from Day 1
- Lasts 18 months (36 in some cases)
- No enrollment window — elect anytime in 60 days
- Typically \$500-\$800/month for individual; \$1,400-\$2,200 for family

ACA Marketplace

- New plan, possibly different network
- Subsidies available based on projected income
- Coverage starts first of next month after enrollment
- 60-day Special Enrollment Period from job loss
- Lower premiums for most candidates
- Income-based subsidies can reduce cost significantly

THE DECISION TABLE

Which is right for you

Your situation	Better choice
You have active prescriptions, a pending procedure, or are mid-treatment	COBRA — keep your exact plan and providers
You're generally healthy with no active medical situation	ACA — almost certainly cheaper
You expect to land a new job within 60 days	COBRA — elect retroactively only if you need it, pay nothing if you don't use it
Your search will likely take 3-6 months	ACA — paying COBRA for 6 months is expensive for most plans
Your spouse has employer coverage you could join	Spouse's plan — job loss is a qualifying life event for their open

enrollment

You have children on your plan

Compare both — pediatric network matters; subsidies may still make ACA cheaper

Your income will drop significantly this year

ACA — subsidies are based on projected annual income. Lower income = more subsidy.

THE COBRA RETROACTIVE TRICK

You don't pay COBRA until you elect it — but if you elect within 60 days, coverage is retroactive to Day 1. So if you're healthy and expect to land quickly: don't elect COBRA yet. If you have a medical event in Month 1, elect COBRA then — and coverage kicks in retroactively. You pay for the months you needed it, not months you didn't.

The risk: if you don't land quickly and don't elect before the 60-day window closes, you have a coverage gap. Know your deadline date and calendar it now.

ACTION STEPS

What to do this week

- Find your current employer's total monthly premium (HR can tell you this — it's what the company pays + what you pay)
- Calculate your COBRA cost: total premium + 2% (employer pays nothing under COBRA)
- Go to healthcare.gov and enter your state, household size, and projected annual income for this year
- Compare: ACA silver plan premium after estimated subsidy vs. COBRA cost
- Check your ACA plan options for your current doctors and any ongoing prescriptions
- If using ACA: enroll within 60 days of job loss — this is a Special Enrollment Period
- If using COBRA: you'll receive election paperwork. Return it within 60 days of coverage loss.
- If spouse has coverage: notify their HR — job loss is a qualifying event to add you mid-year

NEXTCHAPTER TOOL

The Benefits & Financial Bridge walks through your COBRA vs. ACA calculation, projected income estimate, and subsidy eligibility in your first NextChapter session. Free at launchyournextchapter.com

NextChapter • launchyournextchapter.com • Free for candidates, always

This guide is informational. Consult healthcare.gov or a benefits advisor for your specific plan and eligibility.